

Oracle Fusion Financials

General Ledger & Enterprise Structure Configuration

A Practitioner's Implementation Guide

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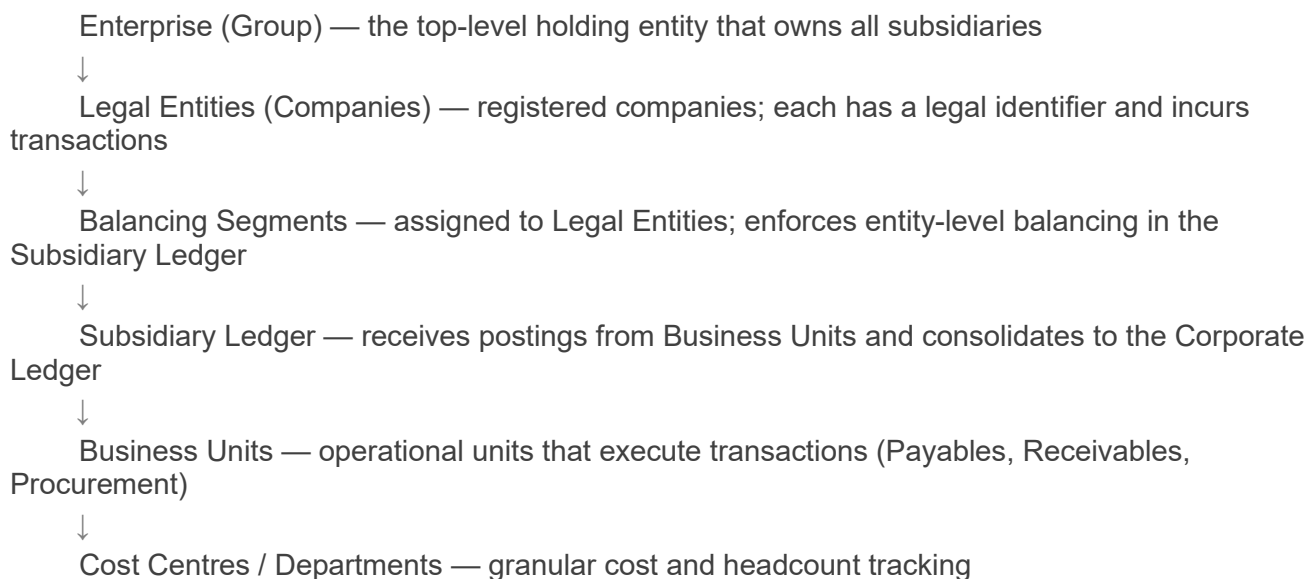
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1. Enterprise Structure Overview

When I first approach an Oracle Fusion Financials implementation, the very first conversation I have with the client is about their enterprise structure. Getting this right at the outset saves enormous rework downstream. Oracle Fusion organises every business under a hierarchical model that mirrors how companies are legally and operationally structured in the real world.

1.1 The Enterprise Hierarchy

The enterprise structure flows from the top-level Enterprise (Group) down through Legal Entities to Balancing Segments, Subsidiary Ledgers, Business Units, Cost Centres, and Departments. Every configuration decision in Oracle Fusion traces back to this hierarchy.



TIP

In my experience, a multinational client with entities in the US and UK should set up two Legal Entities (e.g. US Division and UK Division), each with their own balancing segment values. This keeps inter-company accounting clean from day one and simplifies statutory reporting per entity.

1.2 Legal Entities

A legal entity is a registered company or other entity recognised in law. Each legal entity has a separate legal identifier and therefore conducts different aspects of your business. In practice, every entity that files a tax return, holds a bank account, or signs contracts in its own name is a separate legal entity in Oracle Fusion.

I always advise clients to map one legal entity per registered company. Attempting to consolidate multiple registered companies into a single legal entity creates significant complications with statutory reporting, tax filings, and audits.

★ KEY POINT

A Legal Entity = a registered company or other entity recognised in law.
Each legal entity must have at least one Legal Reporting Unit (auto-created on LE creation).
Multiple legal entities can share a single ledger — separated by Balancing Segment Values.

1.3 Legal Entity, Ledgers, and Balancing Segment Values

When several legal entities share a ledger, I use a distinct balancing segment value for each legal entity. This is one of the most critical design decisions in the entire implementation — it determines how Oracle enforces inter-company balancing and how you generate entity-level financial statements.

For example, if a holding group has three subsidiaries all operating in USD, I associate all three with a single Primary Ledger and assign balancing segment values 01, 02, and 03 respectively. Oracle then ensures every journal entry is balanced at the entity level automatically.

1.4 Legal Addresses, Jurisdictions, and Authorities

Concept	Definition	Real-World Example
Legal Address	The address a legal entity uses to register with a legal authority	Registered office of the company
Legal Jurisdiction	A group of countries, single country, state, county, or parish governed by legislation	State of Texas; United States Federal
Legal Authority	A government or legal body that regulates entities and receives statutory filings	IRS (US), HMRC (UK), MCA (India)

1.5 Managing Legal Reporting Units

Each legal entity must have at least one Legal Reporting Unit (**LRU**). Oracle Fusion automatically creates an LRU with the same name when a legal entity is created. You can define both domestic and foreign establishments as reporting units under the same legal entity.

NOTE

Oracle automatically creates a Legal Reporting Unit with the same name as the Legal Entity on creation.

For a US company with a Canadian branch, the main US entity is the primary LRU and the Canadian branch office is configured as a secondary (foreign establishment) LRU.

2. Financial Reporting Structures Overview

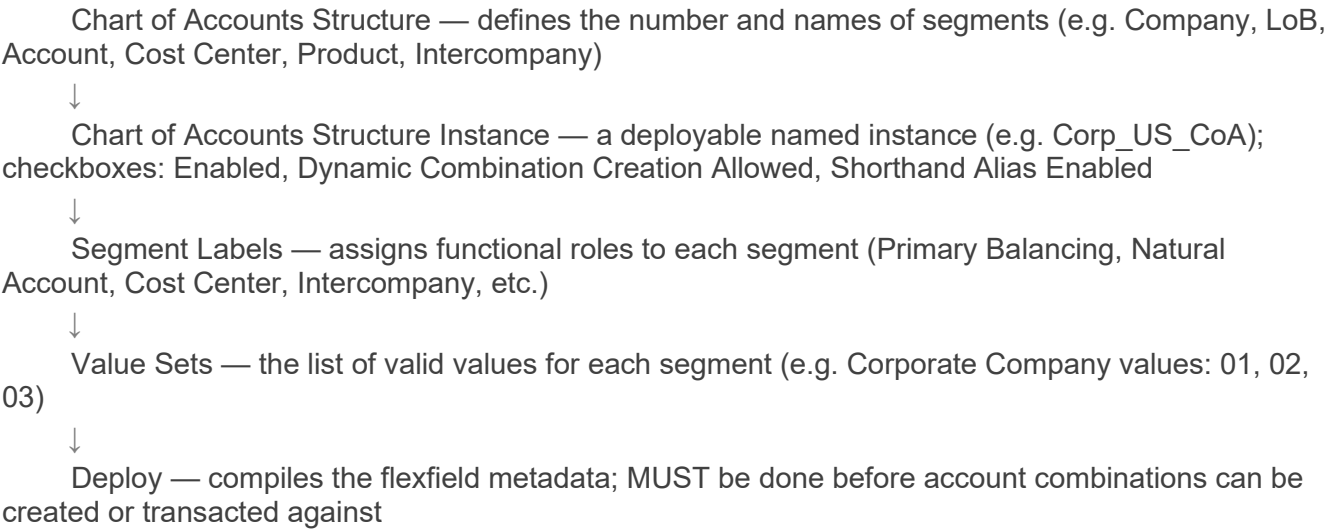
The financial reporting structure in Oracle Fusion is built from four foundational elements. I think of these as the four pillars that every ledger stands on. Miss any one of them and the ledger configuration will be incomplete and the accounting configuration process will fail.

Pillar	Component	Purpose
1	Chart of Accounts (CoA)	Defines the account structure and segments used to classify transactions
2	Accounting Calendar	Defines the fiscal year, accounting periods, and adjusting periods
3	Currency	Sets the functional currency in which balances are maintained
4	Accounting Method	Governs how subledger transactions are accounted (e.g. Standard Accrual, IFRS)

These four pillars feed into either a Primary Ledger or a Secondary Ledger through the Accounting Configuration Process, which creates the data repository where all financial balances are stored.

2.1 Chart of Accounts Components

The Chart of Accounts in Oracle Fusion is structured as a **Key Flexfield** (GL#) with multiple interrelated components. Here is the full component flow I always diagram for clients before any configuration begins:





Account Hierarchies, Security Rules, Cross-Validation Rules, Account Combinations — complete the CoA setup

Segment Labels — Critical Configuration

Segment Labels are among the most important settings in the CoA. Each segment must have appropriate labels assigned. The Primary Balancing Segment and Natural Account Segment are mandatory.

Segment Label	Function	Requirement
Primary Balancing Segment	Enforces balancing at the Legal Entity level; maps to the entity in journals	Mandatory — exactly one segment
Natural Account Segment	Classifies account type: Asset, Liability, Revenue, Expense, or Owner's Equity	Mandatory — exactly one segment
Cost Center Segment	Identifies departmental cost tracking and allocation	Optional but strongly recommended
Second Balancing Segment	Additional balancing dimension (e.g. by product line)	Optional
Third Balancing Segment	Third-level balancing dimension	Optional
Intercompany Segment	Tracks inter-company transactions for elimination at consolidation	Required for multi-entity implementations
Management Segment	Supports management reporting hierarchies separate from statutory	Optional
Local Use Segment	Country-specific or local statutory reporting requirements	Optional; country-specific

★ KEY POINT

The Primary Balancing Segment **MUST** be assigned to exactly one segment — it drives entity-level balancing.

The Natural Account Segment **MUST** be assigned — it determines account type for financial reporting.

In the Corp_US_CoA example: Company = Primary Balancing, Account = Natural Account, Cost Center = CC segment.

Chart of Accounts Structure Instance — Key Field Detail

When I configure a CoA Structure Instance (navigate: Setup: Financials > Financial Reporting Structures > Manage Chart of Accounts Structures), the Segment Instances tab shows the critical mapping between Segment Code and Value Set Code:

Segment Code	Value Set Code	Required	Displayed	Query Required
Company	Corporate Company	Yes	Yes	Optional
LoB	Corporate LoB	Yes	Yes	Optional
Account	Corporate Account	Yes	Yes	Optional
Cost Center	Corporate Cost Center	Yes	Yes	Optional
Product	Corporate Product	Yes	Yes	Optional
Intercompany	Corporate Company	Yes	Yes	Optional

2.2 Sharing Common Application Configurations

One aspect of Oracle Fusion that I find genuinely elegant is how ledger configuration elements are shared across all Oracle Cloud applications. Many things configured in General Ledger are automatically available to Payables, Receivables, Fixed Assets, and other subledger modules.

Configuration Area	Shared Components
Account Structure	Value Sets, Chart of Accounts, Security Rules, Cross-Validation Rules, Account Aliases
Accounting Calendar	Periods — shared across all subledgers in the same ledger
Currencies	Daily Rates, Rate Types — available system-wide
Journal	Journal Categories, Journal Sources

2.3 Geographies Overview

Geographical information in Oracle Fusion defines and monitors where and how business is conducted. All geographical data is centrally located and shared with other applications (Tax, Trading Community Architecture, Receivables). The two key activities are: structure and create geographical information, then use it to facilitate business processes that rely on geographical data — such as tax zone determination and customer address validation.

3. Ledgers — Overview and Configuration

The ledger is the central financial repository in Oracle Fusion. Every transaction — whether it originates in Payables, Receivables, Fixed Assets, or is entered manually in General Ledger — ultimately posts to a ledger. Understanding the three ledger types and when to use each is essential for a sound implementation.

3.1 Three Types of Ledgers

Ledger Type	Purpose	Key Characteristic
Primary Ledger	Main accounting ledger; all subledger activity posts here	Required — every legal entity must be associated with at least one Primary Ledger
Secondary Ledger	Parallel ledger for different accounting standards (e.g. IFRS alongside US GAAP)	Linked to Primary via Data Conversion Level; can have different CoA, calendar, currency, or accounting method
Reporting Currency	Maintains balances in an additional currency	Uses same CoA and calendar as Primary; only currency differs; lighter than a Secondary Ledger

A real-world scenario I encounter frequently: a US company using US GAAP needs to produce IFRS financials for its European parent. The solution is a Primary Ledger in USD with US Standard Accrual, plus a Secondary Ledger (US IFRS Secondary Ledger) using IFRS Standard Accrual at Subledger conversion level.

3.2 Creating a Primary Ledger

Navigation: My Enterprise > Setup and Maintenance > Setup: Financials > General Ledger > Manage Primary Ledgers > Create.

Field	Description	My Recommendation
Name	Unique ledger identifier	Use a clear naming convention: e.g. USA Ledger, INDIA Ledger, or RCKLedger US
Chart of Accounts	The CoA Structure Instance this ledger uses	Must be configured and deployed before creating the ledger
Accounting Calendar	Fiscal calendar for this ledger	Ensure start date aligns precisely with the client's fiscal year start
Currency	Functional (ledger) currency	CANNOT be changed after transactions are posted — validate with CFO in writing first
Accounting Method	Governs subledger accounting rules	Standard Accrual for most; US Standard Accrual (IFRS) for dual-standard requirements

IMPORTANT

The Currency field on a Primary Ledger CANNOT be changed after any transactions have been posted.

Always confirm the functional currency with the client's CFO and tax team before creating the ledger.

I recommend getting written confirmation of the functional currency decision before proceeding.

3.3 Accounting Method Options

Accounting Method	Best Used For
Standard Accrual	Most commercial entities; standard accrual basis accounting
Standard Accrual with Encumbrances	Public sector and government entities tracking commitments and encumbrances
US Standard Accrual	US-based companies following US GAAP with additional US-specific processing rules
US Standard Accrual (IFRS)	US entities needing both US GAAP primary and IFRS secondary ledger compliance
UK/India/France SL Standard Accrual	Country-specific localisation requirements (country-specific tax and accounting rules)
US Federal	US Federal Government entities with USSGL requirements

3.4 Creating a Secondary Ledger

Navigation: Setup: Financials > General Ledger > Manage Secondary Ledgers > Select Scope (choose the Primary Ledger) > Apply and Go to Task > Create.

When creating a Secondary Ledger, the Primary Ledger attributes are shown on the left side for reference, and the new Secondary Ledger fields are on the right. The key additional field is the Data Conversion Level.

Data Conversion Level	What Gets Replicated	Best For
Subledger	Full subledger journal detail from every transaction is copied to the secondary ledger	Maximum drill-down capability; IFRS secondary ledgers requiring full transaction traceability
Journal	GL journal lines are replicated after posting	Good balance between performance and detail; most common choice
Balance	Only period-end account balances are replicated	Reporting-only secondary ledgers where line-level detail is not required
Adjustment Only	Only manual adjustment journals are replicated to the secondary ledger	When the secondary ledger is maintained purely through manual adjustments

TIP

For a UK Operations secondary ledger in GBP, I always use Subledger conversion level.

This ensures every Payables invoice in USD can be traced at the transaction level in GBP. The Chart of Accounts field on a secondary ledger CAN differ from the primary — use CoA Mapping when it does.

3.5 Managing Reporting Currencies

Navigation: Setup: Financials > General Ledger > Manage Reporting Currencies. Reporting Currencies maintain balances in an additional currency using the same CoA and calendar as the primary ledger.

Field	Options	Notes
Currency Conversion Level	Balance, Journal, Subledger	Determines depth of replication — same concept as Secondary Ledger
Period Average Rate Type	Corporate, Spot, User	Used for translating Revenue and Expense accounts
Period End Rate Type	Corporate, Spot, User	Used for translating Balance Sheet accounts
Revenue & Expense Translation Rule	Period To Date (PTD), Year To Date (YTD)	PTD is standard for most implementations
Owner's Equity Translation Rule	Period To Date (PTD), Year To Date (YTD)	Typically PTD for retained earnings translation

3.6 Ledger Structure Relationship

The relationship between all ledger types in a typical two-entity implementation:

Primary Ledger (USD, US Standard Accrual)

- └ Legal Entities (BSV 01, 02) + Balancing Segment Values
- └ Reporting Currency (INR — Balance level conversion)
- └ Secondary Ledger (GBP, UK Standard Accrual, Subledger conversion)
 - └ Legal Entities (same as Primary, re-associated)
 - └ Reporting Currency (EUR — for European consolidation)

4. Practice — Creating a Manual Journal Entry

Creating a manual journal is one of the most frequent tasks a GL accountant performs. I use this exercise to validate the entire configuration chain — if you can create, complete, and post a balanced journal, then the CoA, Ledger, and account combinations are all correctly configured and working together.

4.1 Pre-requisite: Disabling Cross-Validation Rules

Cross-Validation Rules (CVRs) enforce account combination restrictions. For example: "When Natural Account is between 10000 and 39999 (Balance Sheet), Cost Center must be 000." Before journal testing in a new environment, I always check whether active CVRs will block the test account combinations.

Navigation: My Enterprise > Setup and Maintenance > Setup: Financials > Financial Reporting Structures > Show: All Tasks > Manage Cross-Validation Rules.

- 1. Set Chart of Accounts = US Chart of Accounts (or your specific CoA instance).
- 2. Click Search to retrieve existing rules.
- 3. If any rules appear with Enabled checked, uncheck the Enabled checkbox for each rule.
- 4. Click Save to persist the changes, then click Done.

 **TIP**

I always disable CVRs temporarily in a new environment until account combinations are fully loaded.
Once all combinations are confirmed correct, re-enable the CVRs to maintain data integrity.
In production, CVRs are a valuable control — they prevent erroneous account coding.

4.2 Step-by-Step: Creating a Journal

Navigation: General Ledger > Journals > Create Journal (or from the Journals landing page, click the Actions dropdown menu and select Create Journal).

- 1. Enter the Journal Batch name (e.g. 02Adjustment) and a Description (e.g. "Adjustment to the cash account").
- 2. Set Accounting Period — select the open period matching your posting date (e.g. 01-23 for January 2023).
- 3. Confirm Source = Manual and Balance Type = Actual (both auto-defaulted).
- 4. In the Journal section, enter the Journal name and Description (can match the Batch name/description).
- 5. Confirm Ledger = your Primary Ledger (e.g. US Primary Ledger).
- 6. Set Category = Adjustment (or the appropriate journal category for your entry type).
- 7. In Journal Lines, click the Account field icon on Line 1 to open the Account selector popup.
- 8. In the Account popup, enter segment values: Company = 101, Line of Business = 10, Account = 11200, Cost Center = 000, Product = 000, Intercompany = 000. Click OK.
- 9. Enter Debit amount on Line 1 (e.g. 1,000.00).
- 10. On Line 2, enter the offsetting account combination and Credit amount (e.g. 1,000.00).
- 11. Verify Total Debit = Total Credit = 1,000.00 at the bottom of Journal Lines.
- 12. Click the Post button. A Warning dialog appears: "This action will automatically save your work. Do you want to continue?" — click Yes.
- 13. Confirm that Completion Status changes to Complete and Batch Status changes to Posted.

Journal Field	Value / Notes
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Journal Batch	Unique batch name (e.g. 02Adjustment)
Source	Manual — auto-defaulted for manual journal entry; cannot be changed
Balance Type	Actual — for standard GL journals; Encumbrance for commitment accounting
Accounting Period	Must match an Open period (e.g. 01-23). Closed periods reject posting.
Category	Adjustment, Accrual, or other valid category from the dropdown
Currency	Functional currency of the Ledger (e.g. USD US Dollar); foreign currency also selectable
Journal Actions menu	Contains: Journal Actions > Apply AutoReverse, View Accounting, Reverse Journal
Batch Actions menu	Contains: Batch Actions for managing the batch-level approval and processing

★ KEY POINT

Always verify Debit total equals Credit total before posting — Oracle will not post an unbalanced journal.

The Account selector popup displays all configured segments: Company, LoB, Account, Cost Center, Product, Intercompany.

Use the Reconciliation Reference field on journal lines to facilitate future bank reconciliation.

5. Rapid Implementation for General Ledger

One of the most powerful tools Oracle provides for accelerating a Financials implementation is the Rapid Implementation spreadsheet. I use this on virtually every new implementation because it cuts configuration time dramatically and — more importantly — forces comprehensive data gathering before system work begins.

5.1 Implementation Simplification

The standard Financials task list contains over 900 configuration tasks. The Rapid Implementation task list distills this to approximately 90 critical tasks. The RI spreadsheet covers:

- Enterprise structures including Legal Entities and Ledgers
- Chart of Accounts (all segments, value sets, and hierarchies)
- Account defaults and financial document sequences
- Banks, branches, and bank accounts
- Tax configurations and rates
- Fixed asset categories and books

TIP

I always download the Rapid Implementation spreadsheet at project start as a discovery template.

Even if RI is not used for the actual load, filling in the spreadsheet disciplines the team to gather

all required data upfront — which prevents the most common cause of implementation delays.

5.2 The Rapid Implementation Process Flow

Enter all data into the RI spreadsheet across all tabs: COA Calendar Ledger, Business Units, Companies & Legal Entities, Natural Accounts, Financial Sequences, and auto-generated Segment tabs



Click Validate on the COA Calendar Ledger tab. If successful: "Validation is successful and no errors found." Fix any errors before proceeding.



Click "Generate Chart of Accounts File" — Oracle generates and saves ChartOfAccounts.zip to your local drive



Click "Generate Ledger, LE, and BU File" — Oracle generates and saves FinancialsCommonEntities.zip



Upload ChartOfAccounts.zip via: Tasks Panel > Search > Upload Chart of Accounts > Upload Enterprise Structures and Hierarchies (Upload Enterprise Structure radio button selected)



Upload FinancialsCommonEntities.zip via: Tasks Panel > Search > Upload Ledger, Legal Entities, and Business Units



Deploy the Accounting Flexfield (GL#) via: Financial Reporting Structures > Manage Chart of Accounts Structures > Deploy Flexfield



Create Account Combinations in bulk via the ADFdi spreadsheet (Create Account Combinations in Bulk)

5.3 Navigating to the RI Spreadsheet

Navigation: My Enterprise > Setup and Maintenance > Tasks Panel > Search > type "Rapid Implementation" > Select "Define Financials Configuration for Rapid Implementation" (Task Count: 69) > Click "Create Chart of Accounts, Ledger, Legal Entities, and Business Units in Spreadsheet."

The spreadsheet (RapidImplementationForGeneralLedger.xlsm) opens via Firefox download dialog as a macro-enabled Excel file. Save locally and rename with your project prefix (e.g. APRapidImplementationForGeneralLedger.xlsm).

5.4 RI Spreadsheet Tabs and Data Requirements

Tab Name	Data Entered	Key Fields
Instructions	Read-only overview and loading guidance	Review before starting; note the Revenue and Expenses parent account requirements
COA, Calendar, and Ledger	Ledger attributes + CoA segment definitions with 3-button workflow: Validate / Generate CoA File / Generate Ledger-LE-BU File	Name, Currency, Period Frequency, Adjusting Periods, Fiscal Year Start Date; Segments with Label and Short Prompt
Business Units	List of Business Units	Name, Default Legal Entity Name
Companies and Legal Entities	Hierarchy of legal entities (Parent-Child structure) with full address details	Child code, Company Description, LE Name, Identifier (Registration No.), Country, Address Line, City, State, Postal Code, Reporting Unit Registration Number
Natural Accounts	Account hierarchy (Parent9 to Child) with account types	Value, Description, Account Type, Financial Category (Revenue Top Parent / Expenses Top Parent critical for validation)
Financial Sequences	Document sequencing configuration	Sequence type and numbering policy
Segment tabs (e.g. RCKDepartment, RCKIntercompany)	Segment value hierarchies (auto-generated when "Add Segment Sheets" is clicked)	Parent-Child hierarchy with descriptions for each segment value

COA, Calendar, and Ledger Tab — Data Example

Field	Sample Value	Notes
*Name	RCKLedger	Ledger name — must be unique in the instance
Currency	USD	Functional currency — cannot be changed after posting
*Period Frequency	Monthly	Standard for most commercial entities
*Adjusting Periods	Once at year end	One adjusting period for year-end close entries
*Fiscal Year Start Date	01/01/2020	Must match the client's financial year commencement date
*Segment: RCKCompany	Primary Balancing Segment Short Prompt: CO Display Width: 2	First and primary segment — maps to Legal Entity
*Segment: RCKDepartment	Cost Center Segment Short Prompt: DEP Display Width: 3	Department / cost centre tracking
*Segment: RCKAccount	Natural Account Segment Short Prompt: ACCT Display Width: 4	The natural account — 4-digit codes

*Segment: RCKIntercompany	Intercompany Segment Short Prompt: IC Display Width: 2	Inter-company transaction identification
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Natural Accounts Tab — Sample Account Hierarchy

Child Code	Description	Account Type	Financial Category
9999 (root)	Total	Owner's Equity	
1000	Total Assets	Asset	
1110	Cash	Asset - Cash	Cash
1120	Cash Clearing	Asset - Cash Clearing	Cash
1210	Accounts Receivables	Asset - Accounts Receivable	Accounts receivable
1350	Prepayments	Asset - Prepayments	Other assets
2000	Total Trade Payables	Liability	
2210	Accounts Payables	Liability - Accounts Payable	Accounts payable
2230	Tax Payables	Liability - Tax Payable	Tax liability
3000	Total Owner's Equity	Owner's Equity	
3310	Retained Earnings	Owner's Equity - Retained Earnings	Retained earnings
4000	Total Revenue	Revenue — Top Revenues Parent Account	Sales revenue
4110	Technology Sales	Revenue - Revenue	Sales revenue
4120	Financing Contracts	Revenue - Revenue	Sales revenue
5000	Total Expenses	Expense — Top Operating Expenses Parent Account	Other operating expenses
5105	Salaries	Expense	
5620	Miscellaneous	Expense - Miscellaneous Expenses	Miscellaneous operating
6120	Freight	Expense - Freight	Freight expenses
7790	Discount Taken	Expense - Discount Taken	Other operating expenses
7890	Conv. Rate Variance Gain/Loss	Expense - Conversion Rate Variance Gain/Loss	Cost of goods sold
7990	Rounding Difference	Expense - Rounding Difference and Balancing Adjustments	Other operating expenses

8220	Realized Gain/Loss	Expense - Realized Gain/Loss on Foreign Currency Conversions	Other income
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★ KEY POINT

Oracle validates that accounts 4000 (Revenue - Top Revenues Parent Account) and 5000 (Expense - Top Operating Expenses Parent Account) are assigned. These drive automatic Financial

Reporting report generation. The Validate step FAILS if these Financial Category labels are missing.

5.5 Validation and File Generation

The three-step workflow on the COA Calendar Ledger tab is the heart of the Rapid Implementation process:

Click Validate. Oracle checks: all required fields populated, Revenue/Expenses parent accounts assigned, segment labels correctly set. Success message: "Validation is successful and no errors found. Do you want to preview the sample reports?" Click No to proceed.



Click the button. A Save As dialog opens — file name defaults to ChartOfAccounts.zip. Save to your Desktop or project folder. This ZIP contains all CoA structure, value sets, and hierarchy data.



Click the button. Save as FinancialsCommonEntities.zip. This ZIP contains the Primary Ledger definition, Legal Entities, Business Units, and all cross-reference associations.

5.6 Uploading the Chart of Accounts File

Navigation: My Enterprise > Setup and Maintenance > Tasks Panel > Search > "Upload Chart" > Upload Chart of Accounts.

1. On the Upload Enterprise Structures and Hierarchies page, select "Upload Enterprise Structure" (radio button).
2. Click Browse next to Data File and select your ChartOfAccounts.zip file.
3. Click Open to attach the file. The file name appears next to the Browse button.
4. Click Submit. A confirmation dialog shows the Process ID (e.g. "Process 2274940 was submitted"). Click OK.
5. Navigate to Tools > Scheduled Processes to monitor progress.
6. Three child processes run: Maintain Chart of Accounts Hierarchies, Maintain Value Sets, Upload/Update Enterprise Structures and Hierarchies.
7. Click Refresh until Status = Succeeded for all processes.

⚠ IMPORTANT

If any process shows Status = Error, click the process Name and review the Output log. Common errors: duplicate segment values in the spreadsheet, missing required fields, invalid account type codes.

Fix the source spreadsheet, regenerate the ZIP, and re-upload. Do not attempt manual corrections in the UI.

6. Deploying the Accounting Flexfield

After the Chart of Accounts upload succeeds, the Accounting Flexfield (GL#) must be deployed before account combinations can be created or transacted against. Deployment compiles the flexfield metadata and makes it operational across all Oracle Fusion applications.

6.1 What Deployment Does

Deploying the GL# Key Flexfield performs the following actions:

- Flexfield Metadata Validation — checks for configuration errors (missing labels, invalid value sets, segment sequence conflicts)
- Deploys the GL# Key Flexfield across all Oracle Fusion applications that reference it
- Creates database structures to support dynamic account combination generation during transaction entry
- Generates Account Hierarchy views used by Financial Reporting Centre and OTBI reports

6.2 Deployment Navigation and Steps

Navigation: My Enterprise > Setup and Maintenance > Setup: Financials > Financial Reporting Structures > Show: All Tasks > Manage Chart of Accounts Structures.

1. Search for Key Flexfield Code = GL# (General Ledger) to locate the Accounting Flexfield row.
2. The list shows: Application = General Ledger, Key Flexfield Name = Accounting Flexfield, current Deployment Status, and Deployment Date.
3. Select the row and use Actions > Deploy Flexfield (or click Deploy Flexfield if visible as a button).
4. A processing dialog appears: "GL# : Processing — Deployment in progress" with a 0%–100% progress bar.
5. Two expandable sections appear: "Flexfield Metadata Validation: 0 Errors, 0 Warnings" and "Flexfield Deployment Details."
6. Once complete, click OK. The Deployment Status in the list shows a green tick (Deployed) with a Deployment Date and Time.

★ KEY POINT

The Deployment Status MUST show Deployed (green tick) before any account combinations can be created.

If deployment shows errors, expand "Flexfield Metadata Validation" to see the specific issue.

Most common issue: a segment's value set is incorrectly linked in the Structure Instance.

Re-check and redeploy.

6.3 Post-Deployment Verification

After deployment, I always perform a quick verification by navigating to an account combination entry screen and attempting to enter a valid combination. If the segment fields are visible and the LOV (List of Values) returns valid segment values, the deployment was successful.

I also verify that the Structure Name in the Structure Instance matches what was defined — the screen shows: Key Flexfield Code = GL#, Structure Instance Code = Corp_US_CoA (example), Structure Name = Corporate and Countries Structure.

7. Practice — Creating Account Combinations

Account combinations are the valid intersections of all CoA segment values that form a complete GL account code. For example: Company 01 + Department 000 + Account 1110 + Intercompany 01 represents the Cash account for entity 01. Before any transaction can be posted against an account, the combination must exist in Oracle — either created manually, in bulk, or dynamically.

7.1 Creating Combinations in Bulk — ADFdi Spreadsheet

For implementations with more than a handful of accounts, I always use the "Create Account Combinations in Bulk" ADFdi spreadsheet. This Oracle-provided Excel workbook connects directly to Oracle Fusion via BI Publisher integration and uploads multiple combinations in a single operation.

Navigation: My Enterprise > Setup and Maintenance > Search > "Create Account Combinations" > Open the ADFdi workbook. The workbook opens with Chart of Accounts and Ledger pre-populated in the header.

1. Each row represents one account combination. Enter segment values in columns: *RCKCompany, *RCKDepartment, *RCKAccount, *RCKIntercompany.
2. The Changed column shows a blue arrow (pending upload) for rows with new or modified data.
3. Click Submit in the Oracle ADFdi ribbon to push all rows to Oracle in a single operation.
4. Rows successfully processed show "Row updated successfully" or "Row inserted successfully" in the Row Status column.
5. Review any error messages in the Error Message column — correct and re-submit.

RCKCompany	RCKDepartment	RCKAccount	RCKIntercompany	Purpose
01	000	1110	01	Cash — Balance Sheet entity 01
01	000	1350	01	Prepayments — Balance Sheet
01	000	2210	01	Accounts Payable — Balance Sheet
01	000	2230	01	Tax Payable — Balance Sheet
01	000	3310	01	Retained Earnings
01	400	5620	01	Miscellaneous Expenses — Cost Centre 400
01	400	7790	01	Discount Taken
01	400	7890	01	Conversion Rate Variance Gain/Loss
01	400	7990	01	Rounding Difference

TIP

I always create a minimum combination set covering: cash, main AP/AR accounts, retained earnings, and key P&L accounts before testing any subledger transactions. With Dynamic Combination Creation enabled on the CoA Instance, users can create combinations on the fly during transaction entry — but pre-loading the core set prevents early testing errors.

8. Practice — Uploading the Financials Common Entities File

The Financials Common Entities file (FinancialsCommonEntities.zip) generated in Step 3 of the RI spreadsheet contains the Primary Ledger definition, Legal Entities, Business Units, and all cross-reference associations. Uploading this file completes the core Enterprise Structure setup.

8.1 Upload Steps

Navigation: My Enterprise > Setup and Maintenance > Tasks Panel > Search > "Upload Ledger" > Upload Ledger, Legal Entities, and Business Units.

1. Select "Upload Enterprise Structure" radio button on the Upload Enterprise Structures and Hierarchies page.
2. Click Browse and select your FinancialsCommonEntities.zip file.
3. Click Submit. The confirmation dialog shows the Process ID (e.g. "Process 2274759 was submitted"). Click OK.
4. Navigate to Tools > Scheduled Processes and monitor. Click Refresh until Status = Succeeded.

8.2 What Gets Created

After a successful upload, the following objects are created in Oracle Fusion:

Object Created	Example Value	Notes
Primary Ledger	RCKLedger US	Status = In Process initially; changes to Active after Accounting Configuration
Legal Entity 1	RCKVision Corporate HQ	Registered at RCK104 Main Street, Houston TX 770RCK; Identifier: RCK-1234578
Legal Entity 2	RCKVision America	Domestic Operations; Identifier: RCK-1234579; same address
Business Unit	RCKBusiness Unit	Linked to Default Legal Entity: RCKVision America
Balancing Segment Associations	LE 00 = Corporate, LE 01 = Domestic Operations	Automatically created from Companies and Legal Entities tab data

8.3 Primary to Secondary Ledger Mapping

After the Primary Ledger is active, if a Secondary Ledger has been created, I map journal conversion rules via: General Ledger > Complete Primary to Secondary Ledger Mapping.

On the Map Primary to Secondary Ledger screen, I configure:

- Post Journals Automatically from Source Ledger — set to Yes for seamless automatic replication
- Retain Journal Creator from Source Ledger — set to Yes to preserve audit trail of who posted the original journal
- Journal Conversion Rules — define by Journal Source and Journal Category which journals transfer (Yes/No) to the secondary ledger

NOTE

The Journal Conversion Rules table shows Journal Source (e.g. Other, Closing Journal, Revaluation) and Journal Category.

I always set "Other / Other = Yes" to ensure all standard journals replicate, then set specific exclusions.

Click Save and Close after configuring all conversion rules.

9. Specifying Ledger Options

After the Primary Ledger is created, I complete the Ledger Options configuration. This is where several critical accounting behaviours are defined. Navigation: Setup: Financials > General Ledger > Specify Ledger Options (select the appropriate ledger in the Scope dropdown).

9.1 Key Ledger Options Sections

Options Section	Key Setting	My Recommendation
Subledger Accounting	Transfer journals to GL automatically at completion	Enable for seamless subledger-to-GL posting without manual intervention
Journal Processing	Allow Mixed Currency Journals; Enable Journal Approval	Enable mixed currency if multi-currency transactions expected; configure approval per policy
Period Close	Retained Earnings Account	Must be set — Oracle uses this to carry forward net income at year-end close; a missing setting breaks period close
Intercompany	Enable Intercompany Accounting	Enable for any multi-entity setup; drives automatic inter-company journal balancing
Reversal	Journal Reversal Criteria Set	Configure automated reversal criteria if accrual reversals follow a set pattern
Sequencing	Accounting and Document Sequencing By	Set per regulatory requirements; No Sequencing for most; Legal Entity for regulated industries

9.2 Sequencing Configuration

Sequencing Option	Description	Applicable To
No Sequencing	No sequential numbering enforced on journals or documents (default)	Most commercial entities in non-regulated markets
Ledger	Sequential numbers assigned at the ledger level across all legal entities	Multi-entity setups with ledger-wide numbering requirements
Legal Entity	Sequential numbers assigned independently per legal entity; enforces per-entity document numbering	India, France, Brazil, and other countries with statutory sequential numbering requirements

NOTE

For clients in India, France, or other countries requiring legal document sequencing: set Sequencing By = Legal Entity and enable Enforce Document Sequencing for Payables and Receivables. "Enforce Chronological Order on Document Accounting Date" prevents backdated journal entries.

9.3 Completing the Ledger Configuration

After Ledger Options are saved, the final step is: Setup: Financials > General Ledger > Review and Submit Accounting Configuration. This process performs:

- Validates all ledger attributes for completeness and consistency
- Creates the Currency Balances Cube (OLAP cube for Financial Reporting and OTBI balance queries)
- Creates the Average Balances Cube if average balance processing is enabled
- Opens the first accounting period
- Changes Ledger Status from "In Process" to "Active"

IMPORTANT

The Ledger Status must be Active before any transactions can be posted to it. If status remains "In Process" after submitting, check the Accounting Configuration process log. Most common cause: the Retained Earnings Account in Ledger Options is not specified or has an incorrect account type (must be Owner's Equity type).

10. Practice — Viewing Your Legal Entity

After the Financials Common Entities upload and Accounting Configuration are complete, I always verify the Legal Entity setup by navigating to Setup: Financials > Legal Structures > Manage Legal Entities. This confirms that all entities created via Rapid Implementation are correctly registered.

10.1 Legal Entity Verification Checklist

What to Verify	Where to Find It	Why It Matters
Legal Entity Name	Manage Legal Entities search results	Must match the registered company name exactly for statutory filings
Legal Identifier (Registration No.)	Edit Legal Entity > General Information	Required for tax filings, statutory reports, and bank account registration

Legal Address	Edit Legal Entity > Addresses tab	Determines the jurisdiction for tax authority reporting
Jurisdiction	Edit Legal Entity > Registrations tab	Links the entity to the appropriate legal authority
Balancing Segment Value Assignment	General Ledger > Assign Balancing Segment Values to Legal Entities	Critical — if missing, journal entries for this entity will fail with a balancing error
Associated Primary Ledger	General Ledger > Assign Balancing Segment Values to Ledger	Confirms the entity posts to the correct Primary Ledger

TIP

Always run the "Legal Entity Configuration" diagnostic after entity setup to validate all registrations.
 The BSV-to-LE assignment is in: General Ledger > Assign Balancing Segment Values to Legal Entities.
 A missing BSV assignment will cause journal posting failures that can be difficult to diagnose in testing.

11. Configuring Business Units

Business Units (BUs) are the operational entities in Oracle Fusion — they are where transactions originate and are processed. Every Payables invoice, Receivables transaction, Purchase Order, and Expense report is associated with a Business Unit. Configuring BUs correctly, including their functions and reference data, is essential for operational success.

11.1 Business Unit Features and Key Considerations

- BUs are the primary transactional entity for Payables, Receivables, Purchasing, and Expenses
- Each BU is linked to a Legal Entity, which determines which Primary Ledger transactions post to
- BUs control which Reference Data Sets (payment terms, tax codes, etc.) are available for transactions
- BUs participate in the Service Provider Model for shared services configurations

I always advise clients to start with one BU per Legal Entity unless there is a clear operational reason for multiple BUs (e.g. separate procurement teams, different payment term sets, or distinct collections processes per region). Retrofitting BU structure after transactions are posted is extremely challenging.

11.2 Edit Business Unit — Key Fields

Navigation: Setup: Financials > Organization Structures > Manage Business Units > search and select your BU.

Field	Description	Example Value
Name	Unique BU identifier across the instance	US1 Business Unit
Active	Checkbox enabling the BU for transactions	Checked (must be active for transaction entry)
Location	Physical location of the BU (links to Geography setup)	Redwood City
Manager	Optional person responsible for the BU (from HCM)	Leave blank during initial configuration
Default Set	The Reference Data Set assigned to this BU — the most critical field	US1BUSET — must be assigned; drives all transaction reference data availability

★ KEY POINT

The Default Set field on the Business Unit is one of the most commonly missed configuration steps.

Without a Default Set, Payables and Receivables transactions will not find valid payment terms or tax codes.

Assign the Default Set before testing any subledger transactions.

11.3 Business Unit Functions

Navigation: Setup: Financials > Organization Structures > Assign Business Unit Business Function. Business Unit Functions define which Oracle modules are active for a given BU.

Business Function	Enables	Dependency
Payables Invoicing	AP Invoice processing and payment runs	Primary Ledger assignment to the BU's Legal Entity
Customer Payments (Receivables)	AR invoicing, receipts, and collections management	Primary Ledger assignment
Procurement	Purchase Orders, Requisitions, Supplier Contracts	Can be provided by another BU via Service Provider Model
Expenses	Employee expense report processing and reimbursement	HR Organisation association (from HCM)
Project Costing	Project cost capture and reporting	Oracle Projects module configuration
Inventory	Inventory transactions and costing	Supply Chain Management module setup

11.4 Managing Service Provider Relationships

Oracle Fusion supports shared service centre models through the Service Provider framework.
Navigation: Setup: Financials > Organization Structures > Manage Service Provider Relationships.

Service Provider Type	Description	Outsourcing Policy
Customer Payments Service Provider	One BU processes all billing and customer receipts for other BUs	Only ONE service provider BU allowed per client BU
Payables Payment Service Provider	One BU processes all supplier payments for other BUs	Only ONE service provider BU allowed per client BU
Procurement Service Provider	One BU handles procurement (POs, supplier agreements) for other BUs	MULTIPLE service provider BUs allowed — supports regional procurement teams

The three Payables Payment Service models available are: Dedicated (central processing only), Self-Service (each BU handles its own payments), and Dedicated and Self-Service (hybrid — central default with BU override capability).

In the Manage Service Providers page for a given BU, Oracle presents three sections: Customer Payments Service Providers, Payables Payment Service Providers, and Procurement Service Providers. Each section shows the current assigned service provider BUs and allows you to add new ones or mark them as Active.

12. Managing Reference Data Sets

Reference Data Sets (RDS) are a foundational concept in Oracle Fusion that controls which configuration data — payment terms, tax classifications, carrier codes, price lists, and many other reference objects — is available and visible within each Business Unit.

12.1 What is a Reference Data Set?

A Reference Data Set is a named container that acts as a filter, determining which shared configuration data a Business Unit can access during transaction entry. When a Payables clerk in "US Operations BU" selects a payment term on an invoice, Oracle filters the available list to terms belonging to that BU's assigned Reference Data Set.

The key insight: Reference Data Sets allow a single Oracle Fusion instance to serve multiple business units with different operational configurations — without duplicating master data. A payment term "Net 30" can be assigned to multiple Reference Data Sets or restricted to just one.

12.2 The Reference Data Hierarchy

Oracle uses a deterministic model for reference data assignment:

- Central Reference Data Set — sits above all BU-specific sets; data in the Central set is visible to all BUs regardless of their own set assignments
- BU Default Set — the primary Reference Data Set for all reference data objects not explicitly overridden
- Object-Specific Set Assignments — individual objects (like Payment Terms) can be assigned to a different set, overriding the BU default

★ KEY POINT

Two BUs sharing the same Ledger can share the same Reference Data Set to share payment terms, tax codes etc.

Procurement activities can span across any Ledger via the Service Provider Model — RDS does not restrict this.

The Central Reference Data Set is system-seeded and visible to all BUs — use it for truly global reference data.

12.3 Practice: Creating a Reference Data Set

Navigation: My Enterprise > Setup and Maintenance > Financials > Enterprise Profile > Show: All Tasks > Manage Reference Data Sets.

Field	Sample Value	Description
Set Code	XXREFDATA	Short unique code (replace XX with your client prefix)
Set Name	XXReference Data	Descriptive name for the set
Description	XXReference Data Set	Free-text description

1. Click New (+) on the Manage Reference Data Sets page.
2. Enter Set Code, Set Name, and Description as above.
3. Click Save and Close.

12.4 Practice: Managing Business Unit Set Assignment

After creating the Reference Data Set, assign it to specific reference data objects for your Business Unit. Navigation: Setup: Financials > Organization Structures > Manage Business Unit Set Assignment.

This page lists all reference data object types and their current set assignments for the selected BU. For each object type, the Current Set column shows either the BU Default Set or an object-specific override. In most implementations, I keep all objects on the Default Set and only override where a specific BU has genuinely different requirements.

💡 TIP

My recommended Reference Data Set design pattern:

1. Create one Reference Data Set per Business Unit (e.g. US1BUSET, UK1BUSET, INDIABUSET).
 2. Assign the appropriate set as the Default Set on each BU before any transaction testing.
 3. Only create additional sets when two BUs have genuinely different reference data requirements.
- This minimises maintenance overhead while preserving the flexibility Oracle's architecture provides.

13. Practice — Managing Data Access for Users

Data Access in Oracle Fusion controls which Ledgers and Business Units a user can work with during transaction entry and reporting. Without proper data access configuration, users either cannot see their assigned ledger (operational blockage) or can see ledgers they should not access (security risk).

13.1 The Data Access Model

Oracle Fusion uses a two-layer security model for financial data:

- Role-Based Access Control (RBAC) — determines what a user can DO (create journals, approve invoices, run reports)
- Data Security (Data Access Sets / Business Units) — determines what DATA a user can see and act on

Both layers must be correctly configured. A user with the General Accountant role but no data access assignment will have the functional permissions but will be unable to see any ledger in transaction screens.

13.2 Manage Data Access for Users

Navigation: My Enterprise > Setup and Maintenance > Financials > General Ledger > Manage Data Access for Users.

Field	Description
User Name	The Oracle Fusion user account
Role	The security role: General Accountant, General Accounting Manager, Cash Manager, etc.
Security Context	The data context type: Business Unit (for subledger transactions) or Data Access Set (for GL journal access)
Security Context Value	The specific BU or Ledger accessible: e.g. RCKBusiness Unit, RCKLedger US, RCKSecondary

13.3 Authorising Data Access in Bulk — ADFdi Spreadsheet

For multiple users, I use the "Authorize Data Access for Users" ADFdi spreadsheet — the most efficient method for onboarding a team at go-live.

The spreadsheet contains columns: Security Context (Business unit / Data access set), Security Context Value, User Name, and Role. Completed rows show: "Row updated successfully" or "Row inserted successfully" after upload, confirming the access grant.

Role Name	Data Access Context Required	What They Can Do
General Accountant	Business Unit + Data Access Set (Ledger)	Create journals, review balances, run standard GL reports
General Accounting Manager	Business Unit + Data Access Set (Ledger)	All above plus approve and post journals, manage accounting periods
Cash Manager	Business Unit only	Bank reconciliation, cash position management, treasury transactions
Tax Accountant	Business Unit only	Manage tax configuration and run tax reports
Supplier Manager	Business Unit only	Manage supplier profiles and payment method configuration
Revenue Analyst	Business Unit only	Revenue recognition and deferred revenue management

NOTE

Users with General Accountant role need BOTH a Business Unit assignment AND a Data Access Set (Ledger) assignment to create and post journals. Missing either results in the ledger not appearing in transaction screens.

Always test with a non-admin user account before go-live to confirm data access is correctly configured.

14. Enterprise Structure — Complete Reference Summary

After completing all configuration steps covered in this guide, the enterprise structure for a typical two-entity implementation looks as follows. I present this summary diagram in every implementation kickoff workshop to align all stakeholders on the target state architecture before configuration begins.

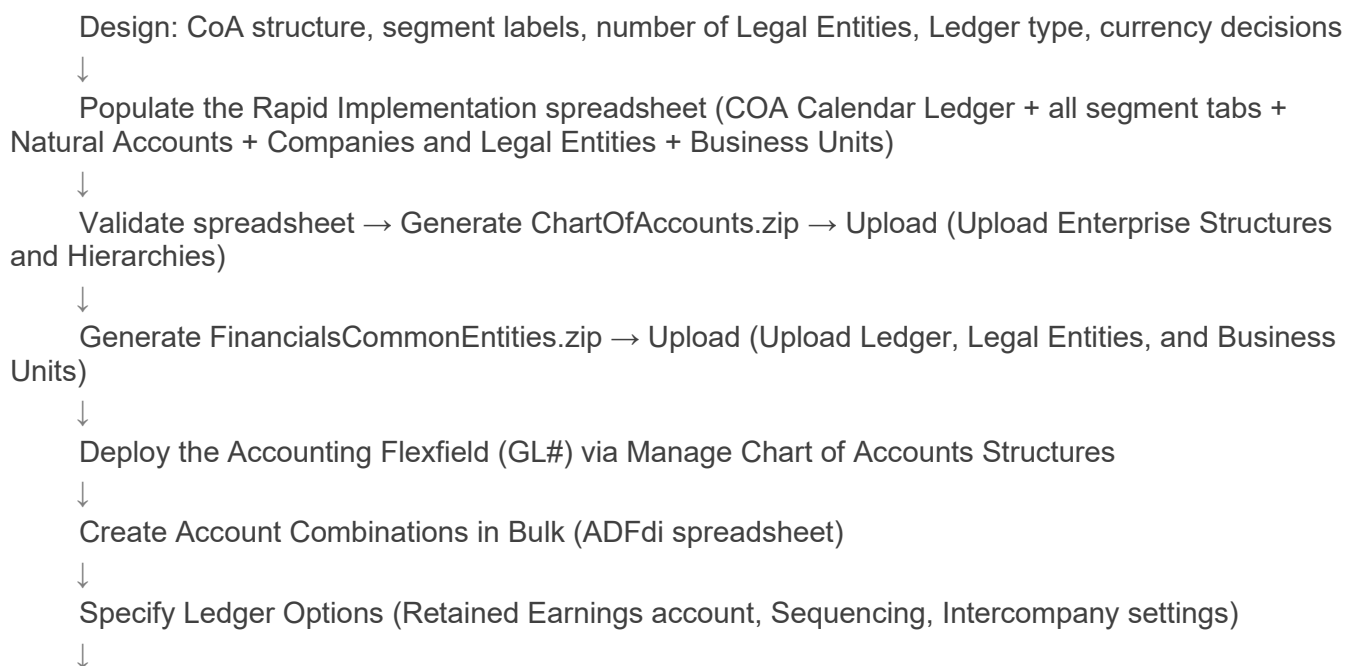
14.1 Sample Two-Entity Architecture

Layer	US Entity Configuration	UK Entity Configuration
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Legal Entity	RCKVision America (US Division)	RCKVision UK (UK Division)
Legal Identifier	RCKUS-1234578	RCKUK-REG-456789
Legal Address	104 Main Street, Houston, TX 77002, USA	1 London Bridge, London, SE1 9BG, UK
Jurisdiction	United States Federal + Texas State	United Kingdom
Balancing Segment Value	01	02
Primary Ledger	RCKLedger US (USD, Standard Accrual)	RCKLedger UK (GBP, UK Standard Accrual)
Secondary Ledger	RCKLedger IFRS (USD, IFRS Accrual, Subledger conversion)	N/A
Reporting Currency	INR — Indian Rupee (Balance level conversion)	EUR — Euro (Balance level conversion)
Business Unit	RCKBusiness Unit	RCK1 Business Unit
BU Default Set	RCKUS1BUSET	RCKUK1BUSET
Procurement Service Provider	Self-service (own procurement)	RCKUS1 BU provides procurement services to RCKUK1 BU
Data Access Set for GL	RCKLedger US (full access for US accountants)	RCKLedger UK (full access for UK accountants)

14.2 Configuration Sequence Summary

The correct configuration sequence for a complete GL setup is:



- Review and Submit Accounting Configuration → Ledger Status becomes Active
- ↓
- Assign Balancing Segment Values to Legal Entities and Ledger
- ↓
- Configure Business Units, assign Default Reference Data Sets, assign Business Functions
- ↓
- Create Reference Data Sets and manage Business Unit Set Assignments
- ↓
- Manage Data Access for Users — assign Business Unit and Data Access Set contexts

Closing Remarks

Oracle Fusion Financials General Ledger configuration is a discipline that rewards careful upfront planning. In my implementation work, the projects that succeed are those where the team invests adequate time in the design phase — getting enterprise structure, CoA design, and ledger strategy right before a single screen is configured in the system.

The Rapid Implementation toolkit Oracle provides is excellent for accelerating standard configurations. But it is only as effective as the data you feed into it. I always treat the RI spreadsheet as a live design document: share it with the client's finance team and tax advisors, get it reviewed by the CFO, and only upload once formal written sign-off is obtained.

The most important advice I give any practitioner: validate every configuration in a non-production environment, and always test with real user accounts — not system administrators — before declaring any configuration complete. Security and data access gaps are almost always invisible to administrators and only surface in user testing.

Implementation Best Practice	Why It Matters
Design the CoA before any system configuration begins	CoA changes after go-live are extremely costly and operationally disruptive
Use the RI spreadsheet as the primary design document	Forces comprehensive data gathering; surfaces missing fields early
Test all data access with non-admin user accounts	Admin users bypass security; only real user testing exposes access gaps
Enable Dynamic Combination Creation during implementation; review for production	Speeds testing; evaluate tighter combination controls for production go-live
Assign BSVs to Legal Entities immediately after entity creation	Missing BSV assignments cause journal posting failures that are hard to diagnose
Document your Reference Data Set strategy before creating Business Units	Retrofitting RDS assignments after transactions are posted is extremely challenging
Validate the Retained Earnings account setting in Ledger Options before period close	Missing this setting breaks the automated year-end close process